

DIAMOND TRUST BANK KENYA LIMITED
AUDITED GROUP AND BANK RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

STATEMENT OF FINANCIAL POSITION

ASSETS

Cash (both local and foreign)	4,209,824	3,660,226	2,506,750	2,291,210
Balances due from Central Banks	11,699,981	9,048,533	5,251,082	5,381,057
Kenya Government and other securities held for dealing purposes	-	-	-	-
Investment Securities:				
(a) Held to Maturity:				
a. Kenya Government securities	22,725,437	17,832,375	22,725,437	17,832,375
b. Other securities	12,375,347	7,613,449	-	-
(b) At Fair Value:				
a. Kenya Government securities	-	-	-	-
b. Other securities	-	-	-	-
Deposits and balances due from local banking institutions	4,725,484	3,119,495	4,725,484	3,119,495
Deposits and balances due from banking institutions abroad	8,975,966	5,666,537	2,688,000	1,000,618
Income tax recoverable	33,246	176,519	-	137,257
Loans and advances to customers (net)	137,654,551	110,945,439	94,059,260	75,292,211
Balances due from group companies	-	-	302,906	384,072
Investments in associate	14,939	9,983	1	1
Investment in subsidiary companies	-	-	2,295,253	2,295,253
Investments in joint ventures	-	-	-	-
Investment properties	-	-	-	-
Property and equipment	5,272,266	4,879,246	3,841,858	3,683,783
Prepaid lease rentals	-	-	-	-
Intangible assets	586,043	560,351	339,303	377,522
Goodwill	173,372	173,372	-	-
Deferred tax asset	1,244,078	1,130,919	1,054,439	983,626
Retirement benefit asset	-	-	-	-
Other assets	1,848,878	1,703,907	1,386,021	1,357,949

Total Assets

LIABILITIES

Balances due to Central Bank of Kenya	-	-	-	-
Customer deposits	160,955,609	128,788,398	101,593,506	84,671,817
Deposits and balances due to local banking institutions	1,662,351	1,847,806	1,662,351	1,847,806
Deposits and balances due to banking institutions abroad	730,220	2,870,506	513,868	1,886,906
Other money market deposits	-	-	-	-
Borrowed funds	12,287,227	5,760,214	9,310,392	4,861,910
Balances due to group companies	-	-	-	-
Tax Payable	130,404	12,143	91,051	-
Dividends payable	-	-	-	-
Deferred income tax liability	-	-	-	-
Retirement benefit liability	-	-	-	-
Other liabilities	3,510,043	3,496,980	2,220,212	2,299,713

Total Liabilities

SHAREHOLDERS' EQUITY

Paid up capital	968,440	880,400	968,440	880,400
Share premium	7,294,767	3,856,898	7,294,767	3,856,898
Revaluation reserve	132,924	273,758	367,703	373,194
Retained earnings	19,986,040	15,477,589	16,572,440	12,995,575
Statutory loan loss reserve	-	-	-	-
Proposed dividends	581,064	462,210	581,064	462,210
Capital grants	-	-	-	-

Total Shareholders' Equity

Non controlling interests

Total Equity

Total Liabilities and Shareholders' Equity

GROUP		BANK	
Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited
211,539,412	166,520,351	141,175,794	114,136,429
179,275,854	142,776,047	115,391,380	95,568,152
28,963,235	20,950,855	25,784,414	18,568,277
3,300,323	2,793,449	-	-
32,263,558	23,744,304	25,784,414	18,568,277
211,539,412	166,520,351	141,175,794	114,136,429

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2014**

INTEREST INCOME

Loans and advances	17,290,845	14,154,675
Government securities	3,213,953	2,374,025
Deposits and placements with banking institutions	303,218	650,361
Other interest income	-	-

Total interest income

INTEREST EXPENSES

Customer deposits	7,542,290	5,771,402
Deposits and placements from banking institutions	226,808	258,368
Other interest expenses	251,317	146,653

Total interest expenses

NET INTEREST INCOME

OTHER OPERATING INCOME

Fees and commissions on loans and advances	852,973	756,818
Other fees and commissions income	1,465,116	1,276,250
Foreign exchange trading income	1,361,732	1,223,278
Dividend income	-	3,755
Other income	116,909	117,653

Total Non-Interest Income

TOTAL OPERATING INCOME

OPERATING EXPENSES

Loan loss provision	871,089	926,574
Staff costs	2,863,885	2,820,117
Directors' emoluments	87,299	82,115
Rentals charges	452,507	453,121
Depreciation charge on property and equipment	705,726	476,783
Amortisation charges	205,264	137,888
Other operating expenses	2,881,836	2,252,755

Total operating expenses

Profit before tax and exceptional items

Exceptional items

Profit after exceptional items

Share of associate profit after tax

Profit before tax

Current tax

Deferred tax credit

Profit after tax and exceptional items

Non controlling interests

Profit for the year after tax and non controlling interests

GROUP		BANK	
Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited
17,290,845	14,154,675	11,958,463	9,962,725
3,213,953	2,374,025	2,199,023	2,053,099
303,218	650,361	107,887	95,780
-	-	10,415	12,831
20,808,016	17,179,061	14,275,788	12,124,435
7,542,290	5,771,402	5,089,101	3,966,134
226,808	258,368	166,874	165,569
251,317	146,653	177,275	144,416
8,020,415	6,176,423	5,433,250	4,276,119
12,787,601	11,002,638	8,842,538	7,848,316
852,973	756,818	510,757	466,439
1,465,116	1,276,250	703,414	644,947
1,361,732	1,223,278	806,657	796,330
-	3,755	36,816	32,265
116,909	117,653	44,522	53,383
3,796,730	3,377,754	2,102,166	1,993,364
16,584,331	14,380,392	10,944,704	9,841,680
871,089	926,574	490,380	601,987
2,863,885	2,820,117	1,655,516	1,576,750
87,299	82,115	49,140	39,368
452,507	453,121	227,393	255,361
705,726	476,783	429,842	256,182
205,264	137,888	147,611	111,915
2,881,836	2,252,755	1,637,750	1,433,721
8,067,606	7,149,353	4,637,632	4,275,284
8,516,725	7,231,039	6,307,072	5,566,396
-	-	-	-
8,516,725	7,231,039	6,307,072	5,566,396
4,561	3,964	-	-
8,521,286	7,235,003	6,307,072	5,566,396
(2,929,851)	(2,462,210)	(2,225,447)	(1,949,583)
116,995	457,961	70,813	441,084
5,708,430	5,230,754	4,152,438	4,057,897
624,911	474,119	-	-
5,083,519	4,756,635	4,152,438	4,057,897

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2014**

	GROUP		BANK	
	Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited
Profit the year	5,708,430	5,230,754	4,152,438	4,057,897
Other comprehensive income				
(Loss)/gain from translating the financial statements of foreign operations	(227,790)	266,021	-	-
Fair value changes in equity investment	-	43,988	-	43,988
Revaluation surplus on property and equipment	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-
Income tax relating to components of other comprehensive income	-	-	-	-
Other comprehensive income for the year net of tax	(227,790)	310,009	-	43,988
Total comprehensive income for the year	5,480,640	5,540,763	4,152,438	4,101,885
Earnings per Share (Shs per share) - basic and diluted	21.92	20.97	17.90	17.89
Dividend per Share (Shs per share)	2.40	2.10	2.40	2.10

ANNUAL GENERAL MEETING AND DECLARATION OF DIVIDEND

Based on the year- end results achieved, the Directors will recommend to the Shareholders at the Annual General Meeting to be held at Laico Regency Hotel, Crystal Ballroom, Nairobi, on 14 May 2015, payment of a first and final dividend of 60% (i.e. at the rate of Shs 2.40 per share) for 2014 on the issued and paid-up share capital of Shs 968 million subject to withholding tax, where applicable.

For purposes of payment of the dividend, the Share Register of the Bank will be closed from 14 May 2015 to 15 May 2015 both dates inclusive and payment of dividend due to Shareholders on the Register as at the close of business on 15 May 2015, will be made on or about 12 June 2015.

By order of the Board

Stephen Kodumbe
Company Secretary

11 March 2015

OTHER DISCLOSURES

(1) NON -PERFORMING LOANS AND ADVANCES

(a) Gross non-performing loans and advances

Less

(b) Interest in suspense

(c) Total Non-Performing Loans and Advances (a-b)

Less

(d) Loan loss provisions

(e) Net Non-Performing Loans (c-d)

(f) Discounted Value of Securities

(g) Net NPLs Exposure (e-f)

(2) Insider Loans and Advances

(a) Directors, shareholders and associates

(b) Employees

(c) Total Insider Loans and Advances

(3) Off-Balance Sheet Items

(a) Letters of credit, guarantees, acceptances

(b) Forwards, swaps, and options

(c) Other contingent liabilities

(d) Total Contingent Liabilities

(4) Capital Strength

(a) Core Capital

(b) Minimum Statutory Capital

(c) Excess/(Deficiency)

(d) Supplementary capital

(e) Total capital (a+d)

(f) Total risk weighted assets

(g) Core capital/total deposit liabilities

(h) Minimum Statutory Ratio

(i) Excess/(Deficiency) (g-h)

(j) Core capital/total risk weighted assets

(k) Minimum Statutory Ratio

(l) Excess/(Deficiency) (j-k)

(m) Total capital/total risk weighted assets

(n) Minimum Statutory Ratio

(o) Excess/(Deficiency) (m-n)

(5) Liquidity

(a) Liquidity Ratio

(b) Minimum Statutory Ratio

(c) Excess/(Deficiency) (a-b)

GROUP		BANK	
Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited	Dec. 2014 Shs 000 Audited	Dec. 2013 Shs 000 Audited
1,803,042	1,325,491	1,199,140	1,057,001
199,860	114,664	130,728	84,978
1,603,182	1,210,827	1,068,412	972,023
1,450,582	1,192,393	1,068,412	972,023
152,600	18,434	-	-
152,600	18,434	-	-
-	-	-	-
3,336,839	2,758,085	2,894,935	2,322,835
559,133	474,235	485,234	358,234
3,895,972	3,232,320	3,380,169	2,681,069
23,932,081	13,022,084	19,335,716	11,435,476
26,990,220	13,812,858	24,112,184	10,675,511
-	-	-	-
50,922,301	26,834,942	43,447,900	22,110,987
		22,245,196	15,044,803
		1,000,000	1,000,000
		21,245,196	14,044,803
		2,819,362	2,975,917
		25,064,558	18,020,720
		132,274,406	87,816,865
		21.8%	18.3%
		8.0%	8.0%
		13.8%	10.3%
		16.8%	17.1%
		10.5%	8.0%
		6.3%	9.1%
		18.9%	20.5%
		14.5%	12.0%
		4.4%	8.5%
		35.6%	32.6%
		20.0%	20.0%
		15.6%	12.6%

MESSAGE FROM DIRECTORS

These financial statements are extracts from the books of the institution as audited by PricewaterhouseCoopers and received unqualified opinion.

The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.dtbfrica.com. They may also be accessed at the institutions head office located at DTB Centre, Mombasa Road, Nairobi, Kenya.

Abdul Samji
Chairman

Nasim Devji
Managing Director

**Consolidated statement of changes in equity
for the year ended 31 December 2013**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At start of year	880,400	3,856,898	238,991	115,291	11,012,392	418,190	16,522,162	2,104,759	18,626,921
Profit for the year	-	-	-	-	4,756,635	-	4,756,635	474,119	5,230,754
Other comprehensive income	-	-	145,372	-	-	-	145,372	164,637	310,009
Transfer of fair value gain to retained earnings on disposal of equity investments	-	-	(44,627)	-	44,627	-	-	-	-
Transfer to retained earnings	-	-	-	(115,291)	115,291	-	-	-	-
Transfer of excess depreciation	-	-	(6,805)	-	6,805	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,041	-	(2,041)	-	-	-	-
Total comprehensive income	-	-	95,981	(115,291)	4,921,317	-	4,902,007	638,756	5,540,763
Write back of unclaimed dividends	-	-	-	-	6,090	-	6,090	-	6,090
Issue of additional shares to non controlling interests	-	-	-	-	-	-	-	123,360	123,360
Acquisition of interests from non controlling interests in Diamond Trust Bank Uganda Limited.	-	-	(61,214)	-	-	-	(61,214)	(54,437)	(115,651)
Dividends:									
- Final for 2012 paid	-	-	-	-	-	(418,190)	(418,190)	(18,989)	(437,179)
- Proposed for 2013	-	-	-	-	(462,210)	462,210	-	-	-
Total transactions with owners, recognised directly in equity	-	-	(61,214)	-	(456,120)	44,020	(473,314)	49,934	(423,380)
At end of year	880,400	3,856,898	273,758	-	15,477,589	462,210	20,950,855	2,793,449	23,744,304

**Consolidated statement of changes in equity
for the year ended 31 December 2014**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At start of year	880,400	3,856,898	273,758	15,477,589	462,210	20,950,855	2,793,449	23,744,304
Profit for the year	-	-	-	5,083,519	-	5,083,519	624,911	5,708,430
Other comprehensive income	-	-	(134,838)	-	-	(134,838)	(92,952)	(227,790)
Transfer of excess depreciation	-	-	(8,566)	8,566	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,570	(2,570)	-	-	-	-
Total comprehensive income	-	-	(140,834)	5,089,515	-	4,948,681	531,959	5,480,640
Rights issue	88,040	3,437,869	-	-	-	3,525,909	-	3,525,909
Dividends:								
- Final for 2013 paid	-	-	-	-	(462,210)	(462,210)	(25,085)	(487,295)
- Proposed for 2014	-	-	-	(581,064)	581,064	-	-	-
Total transactions with owners, recognised directly in equity	88,040	3,437,869	-	(581,064)	118,854	3,063,699	(25,085)	3,038,614
At end of year	968,440	7,294,767	132,924	19,986,040	581,064	28,963,235	3,300,323	32,263,558

**Bank statement of changes in equity
for the year ended 31 December 2013**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
At start of year	880,400	3,856,898	378,081	115,291	9,229,632	418,190	14,878,492
Profit for the year	-	-	-	-	4,057,897	-	4,057,897
Other comprehensive income	-	-	43,988	-	-	-	43,988
Transfer of fair value gain to retained earnings on disposal of equity investments	-	-	(44,627)	-	44,627	-	-
Transfer to retained earnings	-	-	-	(115,291)	115,291	-	-
Transfer of excess depreciation	-	-	(6,068)	-	6,068	-	-
Deferred tax on transfer of excess depreciation	-	-	1,820	-	(1,820)	-	-
Total comprehensive income for the year	-	-	(4,887)	(115,291)	4,222,063	-	4,101,885
Write back of unclaimed dividends	-	-	-	-	6,090	-	6,090
Dividends:							
- Final for 2012 paid	-	-	-	-	-	(418,190)	(418,190)
- Proposed for 2013	-	-	-	-	(462,210)	462,210	-
Total transactions with owners, recognised directly in equity	-	-	-	-	(456,120)	44,020	(412,100)
At end of year	880,400	3,856,898	373,194	-	12,995,575	462,210	18,568,277

**Bank statement of changes in equity
for the year ended 31 December 2014**

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
At start of year	880,400	3,856,898	373,194	12,995,575	462,210	18,568,277
Profit for the year	-	-	-	4,152,438	-	4,152,438
Transfer of excess depreciation	-	-	(7,844)	7,844	-	-
Deferred tax on transfer of excess depreciation	-	-	2,353	(2,353)	-	-
Total comprehensive income	-	-	(5,491)	4,157,929	-	4,152,438
Rights issue	88,040	3,437,869	-	-	-	3,525,909
Dividends:						
- Final for 2013 paid	-	-	-	-	(462,210)	(462,210)
- Proposed for 2014	-	-	-	(581,064)	581,064	-
Total transactions with owners, recognised directly in equity	88,040	3,437,869	-	(581,064)	118,854	3,063,699
At end of year	968,440	7,294,767	367,703	16,572,440	581,064	25,784,414

Statement of cash flows
For the year ended 31 December 2014

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Cash flows from/(used in) operating				
Interest receipts	20,034,467	16,397,303	14,042,357	11,373,289
Interest payments	(7,274,656)	(5,940,516)	(5,069,207)	(4,082,761)
Net fee and commission receipts	2,318,089	2,450,384	1,214,171	1,111,386
Other income received	1,465,167	882,906	844,470	831,136
Proceeds from sale of investment securities	-	1,097	-	1,097
Recoveries from loans previously written off	19,879	27,762	14,407	7,918
Payments to employees and suppliers	(6,107,063)	(5,477,858)	(3,569,796)	(3,305,201)
Income tax paid	(2,655,689)	(3,063,966)	(1,997,139)	(2,530,635)
Cash flows from operating activities before changes in operating assets and liabilities	7,800,194	5,277,112	5,479,263	3,406,229
Changes in operating assets and liabilities:				
- cash reserve requirement	(2,359,678)	1,145,012	(803,132)	(545,971)
- Government securities	(10,621,096)	(4,441,772)	(4,715,473)	(1,033,791)
- loans and advances to customers	(32,354,776)	(23,899,067)	(19,201,587)	(15,839,509)
- Balances due from subsidiary companies	-	-	81,166	47,046
- customer deposits	37,551,985	21,707,801	16,734,921	12,117,757
- other assets	(172,041)	176,977	(28,072)	168,088
- other liabilities	220,066	631,107	(79,501)	370,104
Net cash from/(used in) operating activities	64,654	597,170	(2,532,415)	(1,310,047)
Cash flows used in investing activities				
Purchase of property and equipment	(1,210,649)	(2,581,340)	(612,910)	(2,157,417)
Purchase of intangible assets - software costs	(178,241)	(469,882)	(102,559)	(311,048)
Purchase of shares in subsidiary	-	-	-	(397,682)
Proceeds from sale of equity investment	-	113,802	-	113,802
Proceeds from sale of property and	13,030	10,165	10,459	7,023
Dividend received	-	3,755	36,816	32,265
Net cash used in investing activities	(1,375,860)	(2,923,500)	(668,194)	(2,713,057)
Cash flows from financing activities				
Proceeds from long term loan	6,999,370	2,572,427	4,966,500	1,740,000
Repayment of long term loan	(540,154)	(627,109)	(530,026)	(627,109)
Finance costs	(178,091)	(145,292)	(165,267)	(141,717)
Net proceeds from rights issue	3,525,909	143,723	3,525,909	-
Dividends paid to equity holders of the bank	(462,210)	(418,190)	(462,210)	(418,190)
Dividends paid to non controlling interests	(25,085)	(18,989)	-	-
Net cash from financing activities	9,319,739	1,506,570	7,334,906	552,984
Net increase/(decrease) in cash and cash equivalents	8,008,533	(819,760)	4,134,297	(3,470,120)
Cash and cash equivalents at start of year	9,569,963	10,461,439	3,862,704	7,332,824
Translation difference	198,654	(71,716)	-	-
	9,768,617	10,389,723	3,862,704	7,332,824
Cash and cash equivalents at end of year	17,777,150	9,569,963	7,997,001	3,862,704